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Organizational Tenure and Employee Performance: A Multilevel Analysis

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Abstract

Previous research has investigated the relationship between organizational tenure and performance by focusing primarily on organizational tenure of the individual employee. We propose that this approach is limited because organizational tenure should be conceptualized as relating to multiple entities including teams and their leaders. As predicted, analysis of two objective performance indicators of 1,753 employees working with 250 leaders of natural work teams in a financial services company revealed that, beyond employee organizational tenure, team leader organizational tenure and team organizational tenure diversity had positive incremental effects on employee performance. Moreover, the positive impact of employee organizational tenure was less pronounced in teams with high rather than low tenure diversity. Our findings suggest that organizations' capacity to promote performance will be limited if they focus on organizational tenure of an individual, while neglecting the ways in which performance is shaped by organizational tenure related to multiple entities within a team.

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Keywords

socialization, group or team composition or diversity, multilevel, hierarchical linear modeling, human resource management

The survival and success of an organization hinges on the performance of its members. An important aspect that determines employees' performance at work is their organizational tenure (i.e., the time that an individual has spent in an organization) because employees generally display higher levels of performance as they gain organizational tenure (McDaniel, Schmidt, & Hunter, 1988). In this regard, previous research has primarily examined the relationship between organizational tenure and performance by honing in on organizational tenure of one entity exclusively (i.e., at the individual level focusing on employee tenure, or at the team level focusing on leader organizational tenure or team tenure diversity; Chi, Huang, & Lin, 2009; Goll & Rasheed, 2005; Joshi, Liao, & Roh, 2011; for a comprehensive review, see Ng & Feldman, 2010). However, little work has attempted to integrate these streams of research by means of investigating the way in which employees' capability to perform is influenced by multiple entities simultaneously. As a result, it is theoretically and practically unclear whether organizational tenures of single employees, their leader, and their team have potential simultaneous additive or rather overlapping influences on employee performance.

To address this issue, in the present research, we draw on human capital theory as the guiding overarching framework (Becker, 1964; Coleman, 1988; Nafukho, Hairston, & Brooks, 2004), and develop and test a more comprehensive approach to the study of the organizational tenure–performance link. Specifically, we examine the joint impact of employee organizational tenure, organizational tenure of the team leader, and organizational team tenure diversity on objective employee performance by means of a prospective design in a large field study. The present research thus sheds light on the potential *incremental* impact of organizational tenure of team leaders on employee performance (above and beyond the impact of employees' personal organizational tenure) as well as its potential curvilinear nature (testing whether the strength of this relationship changes over time). Beyond this, we also propose that team organizational tenure diversity has a moderating role such that the relationship between employee organizational tenure and employee performance attenuates as team organizational tenure diversity increases. Figure 1 provides an overview of our conceptual model and hypotheses.

The present research provides an important extension of the extensive literature on organizational tenure. Specifically, it suggests that employee performance is not only affected by the human capital associated with

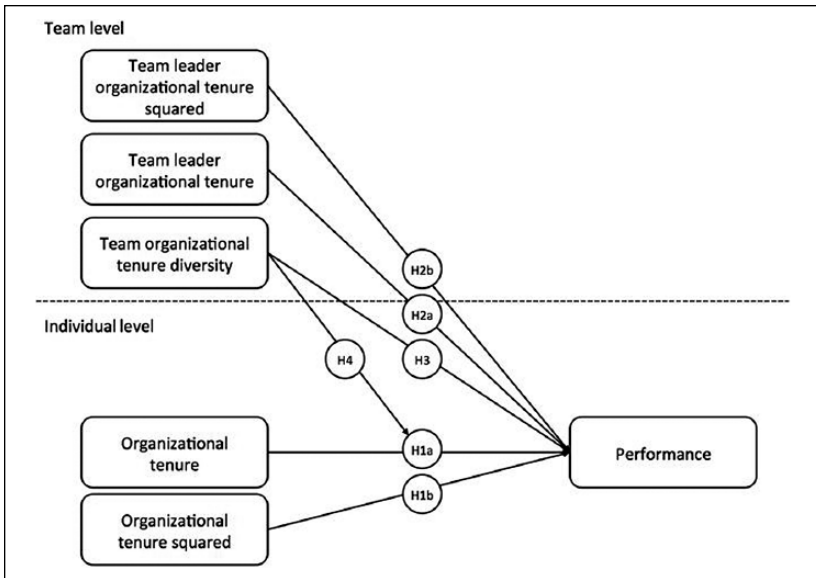


Figure 1. Theoretical model and hypotheses.

organizational tenure of an individual employee (Ng & Feldman, 2010, 2013; Quiñones, Ford, & Teachout, 1995; Sturman, 2003) but also by the (social) capital associated with leaders' organizational tenure as well as the organizational tenure dispersed among team members. Moreover, the present research advances our understanding of organizational tenure with respect to more practical issues because organizations often rely on organizational tenure in management decisions and organizational practices (as reflected in programs structured around organizational seniority such as remuneration and career mentoring; Fang, Duffy, & Shaw, 2011; Hezlett & Gibson, 2007).

Employee Organizational Tenure and Performance

Organizational tenure is regarded as an important indicator of human capital, which is defined as comprising personal, educational, and professional experiences that increase an employee's value at work and his or her career success (Judge, Cable, Boudreau, & Bretz, 1995; Nafukho et al., 2004). More specifically, human capital theory suggests that over the course of their career development, employees acquire human capital by gaining job knowledge, skills, abilities, and experiences (Myers, Griffith, Daugherty, & Lusch, 2004;

Wayne, Liden, Kraimer, & Graf, 1999). This acquired human capital is then valued and rewarded by organizations, such that it enables employees to obtain better jobs as well as to be successful and excel in their positions (Becker, 1964).

Speaking to the more detailed processes that are at play here, when employees join an organization, they are *shaped* by their organizational membership such that they come “to appreciate the values, abilities, expected behaviors, and social knowledge essential for assuming an organizational role and for participating as an organizational member” (Louis, 1980, pp. 229-230). With accumulating organizational tenure, employees (a) become increasingly familiar with their role and the organizational norms, culture, and goals (Chatman, 1991); (b) gain organization-specific knowledge, skills, and abilities (Tesluk & Jacobs, 1998); and (c) acquire social acceptance, role clarity, and self-efficacy (Bauer, Bodner, Erdogan, Truxillo, & Tucker, 2007).

The importance of individuals’ membership in an organization to their psychology is also underlined by the Attraction–Selection–Attrition (ASA) model, which asserts that employees are attracted by and then select to stay with organizations that have values and cultures that are similar to their own values, which, in turn, leads to an increasingly uniform organizational workforce (ASA model; Schneider, 1987). Along these lines, those employees who gain organizational tenure and fit in better are likely to show elevated performance because they have internalized the organizational culture and norms and match the organizational demands to a higher degree (Kristof-Brown, Zimmerman, & Johnson, 2005).

Moreover, organizational tenure constitutes a key indicator of human capital that captures aspects distinct from the ones that are captured by role or job tenure (Quiñones et al., 1995). Specifically, although job or role tenure may lead to an increase in *job or role-related* human capital (i.e., expertise in one’s field, social networks in the industry, etc.), organizational tenure is particularly strongly associated with an increase in *organization-specific* human capital (i.e., internalizing an organization’s history, culture, norms, and goals as well as building up social networks within an organization and rapport with important colleagues, etc.). Acquiring such organization-specific human capital may assist employees in learning to perform their organizational roles and responsibilities, to avoid or overcome obstacles, and to get to know the colleagues they see as important and valuable and find worthwhile collaborating with (Humphrey, Morgeson, & Mannor, 2009). It is for these reasons that organizational tenure has been argued to influence employees’ ability to perform (Nonaka, 1994; Tesluk & Jacobs, 1998). Supporting this assertion, meta-analytic evidence provided by Quiñones and colleagues (1995) revealed a significant correlation of .27 between employee tenure and performance (see also McDaniel et al., 1988).

However, this positive relationship is likely to change with increasing levels of organizational tenure (Hofmann, Jacobs, & Baratta, 1993; Ployhart & Hakel, 1998; Sturman, 2007). Indeed, empirical evidence shows that the rate of acquiring more tenure-related resources tends to be greater in employees who are in early, rather than advanced, stages of organizational membership (Ng & Feldman, 2010; Sturman, 2003). Consequently, employees start with no or limited organization-specific human capital and learn more at these early stages of socialization. As time passes, however, they accumulate increasingly less organization-specific human capital. In sum, building on previous theory and replicating previous findings (Ng & Feldman, 2010; Sturman, 2003), we expect the relationship between employee organizational tenure and performance to follow the shape of a learning curve, with greater increases of performance at low levels than at high levels of organizational tenure.

Hypothesis 1a: Employee organizational tenure is positively related to employee performance.

Hypothesis 1b: The positive relationship between employee organizational tenure and employee performance is curvilinear, such that the increase in performance is stronger at low than at high levels of employee organizational tenure.

Leader Organizational Tenure and Employee Performance

In addition to being influenced by the knowledge gained as they learn more about the organization, employees' performance is also likely to be influenced by the knowledge that their leader gains as he or she learns more about the organization (Goll & Rasheed, 2005; Gupta & Govindarajan, 1984). With increasing organizational tenure, leaders, too, acquire organization-specific human capital (Becker, 1964). More specifically, they increasingly learn to (a) act in accordance with the organization's culture, norms, and goals as well as to build up essential social networks (Nonaka, 1994); (b) acquire organization-specific knowledge, skills, and abilities (Tesluk & Jacobs, 1998); and (c) perform the roles and responsibilities that they have as members of their organization (Ashforth & Saks, 1996). In sum, to the extent that leaders make use of the capital associated with increasing organizational tenure to facilitate their own performance that centers on looking after their subordinates (see also Hirst, Mann, Bain, Pirola-Merlo, & Richver, 2004), their own increased performance should also be reflected in greater performance of their subordinates.

It is worth noting that a leader's organizational tenure differs conceptually from general tenure in a leadership role. In particular, whereas the latter involves the acquisition of general, leadership-related capital (e.g., knowing how to deal with people in professional contexts, how to chair meetings in general), the former involves the acquisition of human capital that is tied specifically to the organization and leadership within it (e.g., knowing how to communicate with and inspire organizational members, whom to contact when needing support). Thus, with accumulating organizational tenure, leaders not only internalize the organization's norms and goals and develop shared perspectives and supportive relationships with other organizational members but also learn to lead and guide other organizational members. Indeed, because the process of leadership is unique in each organization in the sense that it depends on the specific identity of the organization, comprising particular tasks and challenges, field of work, and followers (Ellemers, De Gilder, & Haslam, 2004; Haslam, Reicher, & Platow, 2011; Steffens et al., 2014; van Knippenberg, 2011), increasing organization-specific human capital should help leaders perform better in their task by facilitating the performance of their subordinates.

However, akin to the relationship between employee tenure and performance, leaders' organizational tenure is likely to show a curvilinear relationship with employee performance (Ng & Feldman, 2010; Sturman, 2003, 2007). The relationship can be expected to be curvilinear because leaders are likely to acquire organization-specific human capital at a decreasing rate as their membership in the organization continues. Thus, the relationship between leaders' organizational tenure and employee performance is anticipated to change over time and follow the shape of a learning curve (Sturman, 2003). Hence, the following cross-level effects are predicted:

Hypothesis 2a: Team leader organizational tenure is positively related to employee performance.

Hypothesis 2b: The positive relationship between team leader organizational tenure and employee performance is curvilinear, such that the increase in performance is stronger at low than at high levels of leader organizational tenure.

Team Organizational Tenure Diversity and Employee Performance

Interactive team processes that involve team members' collaboration and support, task coordination, and sharing of knowledge and information result in *team-level* phenomena and experiences (Haslam, 2004; Kozlowski &

Ilgen, 2006; Morgeson & Hofmann, 1999). Speaking to the aims of the present research, team-level organizational tenure may be represented by several different indicators, including team minimum, team maximum, team mean, and team diversity, with the latter two being most relevant in this context. A team composed of members with high organizational tenure (high team mean) may have a greater understanding of how to successfully operate within the organizational system, as well as a common language that makes the communication among team members more effective. However, composing teams with members who all have extensive organizational tenure may have limited potential to increase employees' performance beyond the impact of employees' personal organizational tenure (Bell, Villado, Lukasik, Belau, & Briggs, 2011). In particular, as the ASA model suggests (Schneider, 1987), organizational members may become more homogeneous over time, which may limit members' ability to perform in an evolving organization or a changing environment.

A tenure diverse team, however, in which team members possess low and high organizational tenure alike, may provide team members with additional benefits beyond those awarded by their own individual organizational tenure. Typically, team diversity is defined "as a characteristic of a social grouping that reflects the degree to which there are objective or subjective differences between people within the group" (van Knippenberg & Schippers, 2007, p. 519). More precisely, Harrison and Klein (2007) proposed different types of team-level diversity (i.e., separation, variety, and disparity). In the present research, we will focus on *diversity as separation*, as this type of diversity "captures the dispersion or variance in members' continuous demographic characteristics such as team members' age or tenure in the firm" (Joshi et al., 2011, p. 525). As a reflection of the *dispersion* of team members' organization-specific experiences, work habits, attitudes, and opinions, team organizational tenure diversity is likely to play a critical role in influencing employee performance.

First, this dispersion is likely to affect employees' performance because it influences employees' access to others' opinions and experiences (Kouchaki, Okhuysen, Waller, & Tajeddin, 2012). Specifically, teams with diverse organization-specific capital can help members with little capital to learn to perform better (Klimoski & Mohammed, 1994). Second, employees in tenure diverse teams are more likely to be confronted with different attitudes and to recognize and draw on each others' viewpoints. Employees' ability to recognize and use other team members' organizationally relevant experiences, in turn, is likely to have consequences on their own performance. Third, in teams composed of employees with low and high organizational tenure, team members may be more willing to question the status quo because newcomers

may be able to provide new and different viewpoints on established knowledge and procedures (Michel & Hambrick, 1992). The different organization-specific experiences and attitudes concerning decision making that team members possess may enrich team discussion, enhance reflexivity on working habits, and, consequently, increase the performance of individual team members (Rink & Ellemers, 2010; see also Bantel & Jackson, 1989; De Dreu & West, 2001). In sum, on the basis of the outlined arguments, we predict that an increase in team organizational tenure diversity will be positively related to an increase in employee performance:

Hypothesis 3: Team organizational tenure diversity is positively related to employee performance (over and beyond that predicted by individual tenure).

In addition to directly impacting employees' ability to perform, team organizational tenure is also expected to influence the *extent* to which employees can benefit from their individual organizational tenure. Specifically, it is likely that the impact of employees' individual organizational tenure on their performance will attenuate as team organizational tenure diversity increases (provided that the overall level of organizational tenure in the team is comparable). As we have argued, employee organizational tenure (at the individual level) and team organizational tenure diversity (at the team level) are related to distinct sets of organization-specific capital that should lead to higher employee performance. However, to the extent that employees can draw on important capital that they have as individuals, working in teams that have substantial (rather than limited) capital associated with organizational tenure diversity is likely to have a less pronounced effect on their performance.

More specifically, it has been argued that diversity is important because it provides individuals with important resources by means of increasing critical reflection and integration of information that is necessary for solving problems (Rink & Ellemers, 2010) and reflective communication that promotes learning and performing (Gibson & Vermeulen, 2003; see also Van Der Veegt & Bunderson, 2005). However, compared with an employee with high tenure, his or her counterpart with low organizational tenure may benefit more from collaborating with team members whose levels of organizational tenure are diverse because he or she may learn to a greater extent from the communication and integration of different standpoints of other team members.

Similarly, in organizational tenure diverse teams, team members' performance may benefit because the quality of discussions about current problems increases (Simons, Pelled, & Smith, 1999) and because team members can identify and access the expertise of other members (Austin, 2003). Again,

though, if employees have high organizational tenure and possess substantial organization-specific human capital, then engaging in discussion and accessing other members' expertise may bring relatively few advantages than for employees who are new to the organization and may possess only scant organization-specific capital. Integrating these arguments, we expect that diversity in team members' organizational tenure and organization-specific human capital and attitudes can *substitute* for employees' tenure-related capital when individuals have low organizational tenure.

Hypothesis 4: Employee tenure and team organizational tenure diversity interact to affect employee performance such that the positive relationship between employee tenure and employee performance is stronger in teams with low, rather than high, team organizational tenure diversity.

Method

Sample and Procedure

We employed a prospective design by measuring independent variables in 2004 and employees' individual performance indicators in 2005. The data were collected in a large financial services consulting company in Germany that provided the data from the company's personnel records. Employees worked as individual consultants selling insurance and other financial products to their private and small enterprise customers. Consultants were organized within 250 teams.

Within these teams, team members relied on and interacted with each other such that they dealt with the same product information and software and also shared a general secretary and a branch leader. In addition to informal gatherings, team members got together once a week for a formal meeting and exchange of information. Indeed, consultants in the current sample were only able to effectively perform their work because, and to the extent that, they shared relevant information and resources about latest market developments, received similar guidance from the same team leader, divided task responsibilities by delegating customers to other members, and supported one another's professional development. Although they interacted considerably with each other, team members' contributions were assessed separately for each individual member. Thus, these teams resembled a pooled type of team with respect to performance outcomes. The core principle that distinguished the present teams from other types of (work) groups can be found in the pronounced level of task interdependence (i.e., team members' coordination of their actions and exchange of resources and information to be able to

perform their tasks). This task interdependence is an important feature not only of the current sample but also more generally because research has shown that task interdependence strongly influences interpersonal interactions and team dynamics (Mitchell & Silver, 1990; Van Der Vegt & Janssen, 2003; Wageman, 1995). As discussed in more detail later, these notions also align with the present empirical findings that indicate that a substantial amount of variance in employees' performance is accounted for by characteristics at the team level.

Furthermore, the teams were managed by team leaders whose responsibilities included supervising the professional development of their employees and conducting job interviews with new applicants. The team leaders were also responsible for the communication with the management within each branch as well as with the company's headquarters. The total sample consisted of 1,753 employees, 250 leaders, and 250 stable, intact working teams. Employee characteristics were as follows: Age ranged from 23 to 61 years, with an average of 36 years ($SD = 6.02$). Employee organizational tenure ranged from 0 to 24 years, with an average of 4.4 years ($SD = 3.65$), and approximately 14% of the employees were female. Team size ranged from 3 to 24 team members, with an average of 9 members ($SD = 3.11$). Leaders' age ranged from 28 to 55 years, with an average of 38 years ($SD = 4.91$) and organizational tenure ranged from 2 to 23 years, with an average of 8 years ($SD = 3.55$). Approximately 4% of the leaders were female.

Measures

Organizational tenure. Employee and leader organizational tenure were operationalized as the number of years that they had worked in the company by the end of 2004. In line with the conceptualization of diversity as separation within a team (Bell et al., 2011; Harrison & Klein, 2007), we calculated team organizational tenure diversity using SD .

Performance outcomes. To test our hypotheses, we relied on two key objective performance indicators: (a) commission and (b) new customers. Commission refers to the level of commission that a consultant achieved which was based on their total volume of sales in 2005. New customers refers to the acquisition of new customers and was assessed by the number of newly acquired customers through existing ones during the same year. For each consultant, the performance indicators were measured in percentage, such that 100% was defined as the average of all consultants for the year 2004. The company designed these measures deliberately to set challenging goals for all branches of the company and to make the performance of all consultants comparable.

Both these performance measures reflected individual employee performance and a confound with team performance can be ruled out because (a) all consultants had unique customers and (b) customer relationships were coordinated within each team and district, thereby assuring that each customer was assigned to one consultant only.

Statistical Analysis

We conducted hierarchical linear modeling (HLM) analyses (HLM 6; Raudenbush, Bryk, Cheong, Congdon, & du Toit, 2004), which explicitly accounts for the nested nature of the data and can simultaneously estimate the impact of factors at different levels of analysis on individual-level outcomes, while maintaining the appropriate level of analysis for each predictor. We used random coefficient regression analyses that allowed for random variation at the individual and the team levels of analyses. Model 1 (unconstrained model) only included the dependent variable, employee performance, and was analyzed to determine the amount of variance that can be attributed to the individual level (Level 1) as well as the team level (Level 2). Model 2 (random coefficient regression model) included employee organizational tenure and employee organizational tenure squared (Level 1 predictors), testing Hypotheses 1a and 1b. In Model 3 (intercepts-as-outcomes model), leader organizational tenure, leader organizational tenure squared, and team organizational tenure diversity (Level 2 predictors) were added to the prediction of employee performance testing Hypotheses 2a, 2b, and 3. Hypothesis 4 was tested with Model 4 (slopes-as-outcomes model) in which the interaction term between employee tenure and team organizational tenure diversity was added.

Results

Preliminary Analyses

Table 1 displays means, *SDs*, and intercorrelations between variables at each level of analysis. Intercorrelations suggest that at Level 1 employee age and gender correlated with at least one of the two performance measures and at Level 2, team age *SD*, mean organizational tenure, leader age, and team size correlated with team organizational tenure diversity. Because additional analyses including these as control variables revealed identical patterns to the ones reported in what follows, we dropped these variables for the sake of interpretability of the findings (Spector & Brannick, 2011).

Consistent with recommendations by Hofmann and Gavin (1998), all Level 1 predictors were centered around their group mean, whereas all Level

Table 1. Descriptive Statistics and Intercorrelations.

Variable	<i>M</i>	<i>SD</i>	1	2	3	4	5	6
Individual level								
1. Tenure	4.43	3.65	—					
2. Age	36.46	6.02	.44**	—				
3. Gender ^a	1.86	0.35	-.01	.11**	—			
4. Performance: Commission	73.52	40.00	.38**	.18**	-.01	—		
5. Performance: New customers	166.52	68.14	.35**	.18**	.06*	.48**	—	
Team level								
1. Team organizational tenure <i>SD</i>	2.51	1.62	—					
2. Team age <i>SD</i>	4.68	2.20	.28**	—				
3. Team mean organizational tenure	3.95	2.04	.73**	.16**	—			
4. Leader organizational tenure	8.17	3.55	.39**	.07	.54**	—		
5. Leader age	38.48	4.91	.33**	.05	.38**	.65**	—	
6. Team size	8.98	3.11	.23**	.07	.25**	.19**	.19**	—

Note. For Level 1 (employees), $n = 1,753$; for Level 2 (teams/team leaders), $n = 250$.

^aGender (1 = female, 2 = male).

* $p < .05$. ** $p < .01$.

2 predictors were grand mean centered to avoid problems of multicollinearity and to calculate the true influence of the Level 2 variables above and beyond the influence of the individual-level variables (thereby avoiding that the estimated influence of Level 2 variables could reflect the actual influence of the Level 1 variables; see also Enders & Tofghi, 2007). Furthermore, the slope of employee organizational tenure varied significantly across teams predicting commission, Level 1 slope variance = 133.39, $\chi^2(246) = 400.20$, $p < .001$, and new customers, Level 1 slope variance = 250.12, $\chi^2(246) = 401.66$, $p < .001$, thus fulfilling requirements for examining cross-level interactions. To partial non-essential covariance between the predictors and the higher order terms, employee tenure and team organizational tenure diversity were standardized prior to calculating the interaction term (Cohen, Cohen, West, & Aiken, 2003).

Tables 2 and 3 present the HLM results for commission and new customers, respectively. Before testing the hypotheses, the intraclass correlation coefficients *ICC1* and *ICC2* were calculated from Model 1. An *ICC1* of .23

Table 2. HLM Results for Employee Performance (Commission).

Variable	Model 1		Model 2		Model 3		Model 4	
	β	SE	β	SE	β	SE	β	SE
Level 1 (individual level)								
Intercept, γ_{00}	71.51**	1.49	71.31**	1.50	70.89**	1.26	70.90**	1.26
Tenure, γ_{10}			17.33**	1.74	17.28**	1.74	19.16**	1.82
Tenure squared, γ_{20}			-2.32**	0.74	-2.23*	0.74	-1.22	1.02
Level 2 (team level)								
Team organizational tenure SD, γ_{01}					8.56**	1.27	8.31**	1.25
Leader organizational tenure, γ_{02}					8.08**	1.72	8.19**	1.72
Leader organizational tenure squared, γ_{03}					-1.13	0.63	-1.59	0.63
Cross level								
Tenure $\times$ Team organizational tenure SD, γ_{11}							-3.93**	1.72
Variance components								
Level 1 residual variance, σ^2	1,238.35		1,003.88		1,004.29		1,005.70	
Level 2 residual variance, τ^2	360.19		396.37		243.77		243.40	
Level 1 slope variance for tenure, u			135.45		133.39		117.07	
$ICC1 = \tau^2 / (\tau^2 + \sigma^2) = 360.19 / (360.19 + 1,238.35) = .23$ $R^2_{\text{Level } 1} = (1,238.35 - 1,003.88) / 1,238.35 = .19$ $R^2_{\text{Level } 2} = (396.37 - 243.77) / 396.37 = .38$								

Note. For Level 1 (employees), $n = 1,753$; for Level 2 (teams/team leaders), $n = 250$. ICC = intraclass correlation coefficient.

*After Raudenbush and Bryk (2002).

* $p < .05$. ** $p < .01$.

for commission and of .32 for new customers indicated that substantial variance in employee performance could be accounted for by team-level characteristics. In addition, satisfactory reliabilities of the means of both outcomes are indicated by a high $ICC2$ (commission = .73; new customers = .81).

Main Analyses

The impact of employee organizational tenure. For each performance measure, Hypotheses 1a and 1b were tested in Model 2, which only specified Level 1 predictors (i.e., employee tenure and employee tenure squared). Supporting H1a and H1b, and as presented in Table 2 and illustrated in Figure 2a, employee tenure and employee tenure squared were each significantly related to employees' commission. Based on Raudenbush and Bryk's (2002) formula of explained variance, this model explained 19% of the within-team variance. Again, supporting H1a and H1b and as displayed in Table 3 and Figure 2b, employee tenure and employee tenure squared were also signifi-

Table 3. HLM Results for Employee Performance (New Customers).

Variable	Model 1		Model 2		Model 3		Model 4	
	β	SE	β	SE	β	SE	β	SE
Level 1 (individual level)								
Intercept, γ_{00}	164.01**	2.85	163.70**	2.86	163.22**	2.49	163.15**	2.50
Tenure, γ_{10}			42.04**	2.99	39.61**	2.93	44.04**	3.05
Tenure squared, γ_{20}			-10.20**	1.49	-11.24**	1.51	-8.96**	1.83
Level 2 (team level)								
Team organizational tenure SD, γ_{01}					13.05**	2.50	14.59**	2.47
Leader organizational tenure, γ_{02}					15.57**	2.87	14.92**	2.86
Leader organizational tenure squared, γ_{03}					-5.87**	1.19	-5.59**	1.21
Cross level								
Tenure × Team organizational tenure SD, γ_{11}							-8.74**	2.91
Variance components								
Level 1 residual variance, σ^2	3,156.16		2,383.22		2,418.94		2,372.16	
Level 2 residual variance, τ^2	1,508.24		1,657.99		1,166.64		1,176.84	
Level 1 slope variance for tenure, u			362.68		250.12		332.40	
$ICC1 = \tau^2 / (\tau^2 + \sigma^2) = 1,508.24 / (1,508.24 + 3,156.16) = .32$								
$R^2_{\text{Level 1}} = (3,156.16 - 2,383.22) / 3,156.16 = .25$								
$R^2_{\text{Level 2}} = (1,657.99 - 1,166.64) / 1,657.99 = .30$								

Note. For Level 1 (employees), $n = 1,753$; for Level 2 (teams/team leaders), $n = 250$. ICC = intraclass correlation coefficient.
*After Raudenbush and Bryk (2002).
* $p < .05$. ** $p < .01$.

cantly related to the second performance indicator, new customers, explaining 25% of the within-team variance.

The impact of leader organizational tenure and team organizational tenure diversity. To test Hypotheses 2a, 2b, and 3, we specified Model 3 in which we added all group-level predictors to the individual-level variables of Model 2. Supporting H2a and H3, but not H2b, as presented in Table 2, employee’s performance in terms of commission was predicted by leader organizational tenure, and team organizational tenure SD (but not leader organizational tenure squared). Analysis revealed that group-level predictors accounted for 38% of the between-team variance. Table 3 and Figure 3 display the results

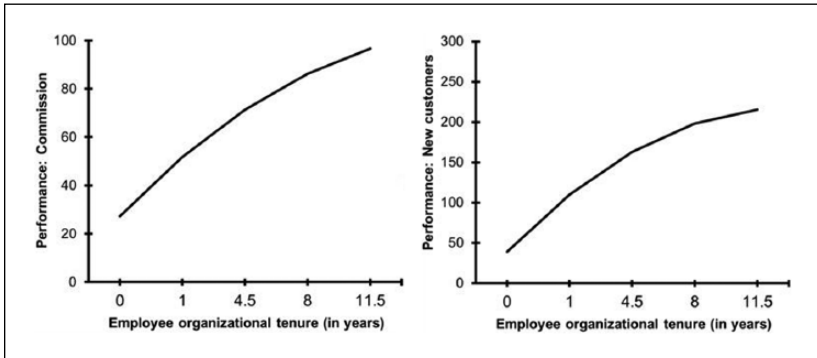


Figure 2. Relationship between employee organizational tenure and employee performance.

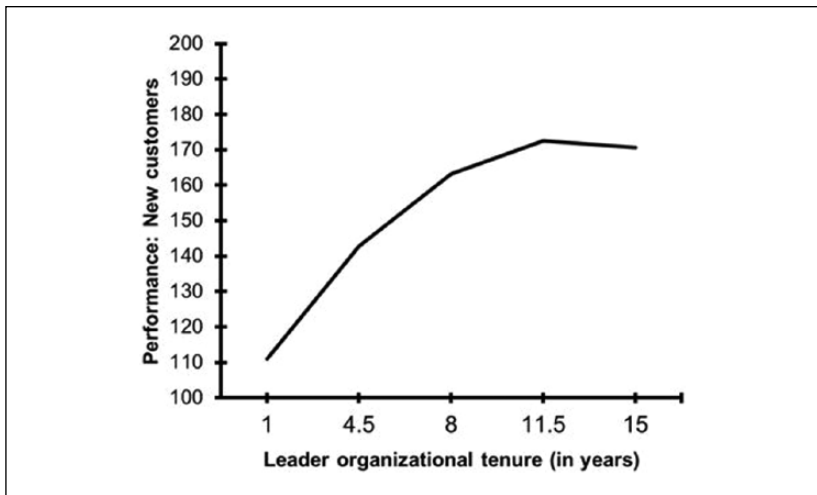


Figure 3. Relationship between leader organizational tenure and employee performance.

for the second performance measure, employees' new customers. Supporting H2a, H2b, and H3, leader organizational tenure, leader organizational tenure squared, as well as team organizational tenure *SD*, were associated with employees' acquisition of new customers, explaining 30% of the between-team variance.

The moderating impact of team organizational tenure diversity. Tables 2 and 3 present HLM results for the predicted interaction between employee tenure and team organizational tenure *SD* on employee performance with regard to commission and new customers, respectively. In support of H4, the analysis yielded a significant cross-level interaction between employee tenure and team organizational tenure *SD* on employee performance in terms of both commission and new customers. The interactions are illustrated in Figures 4a and 4b, in which the regression lines labeled as low and high team organizational tenure diversity refer to the teams with 1 *SD* below and 1 *SD* above the sample mean of team organizational tenure diversity. Likewise, low and high employee tenure refer to 1 *SD* below and above the sample mean of employee tenure. In sum, results indicate that the positive relationship between employee organizational tenure and performance was more pronounced in teams with low, rather than high, team organizational tenure diversity.

Supplemental Analyses

Because Chi et al. (2009) have reported a curvilinear relationship between tenure diversity and team innovation, we also tested non-linear effects of tenure diversity on both performance outcomes. With regard to commission, the squared term for tenure diversity had a significant effect ($\beta = -2.58, p < .01$), whereas with regard to new customers, it did not have a significant effect ($\beta = -2.40, ns$). In light of the facts that (a) these effects partially replicate previous findings and the theoretical framework has already been provided by Chi et al. (2009) and (b) examination of their relevant underlying mechanisms and processes would go beyond the scope of our study, we refrain from elaborating on this effect in the “Discussion” section. Nevertheless, a thorough analysis of curvilinear dynamics of diversity and group-level performance is imperative for future research.¹

For the purpose of examining non-linear effects, alternative methods have been developed, to partial non-essential covariance in the predictor variables and their higher order terms. For example, Lance (1988) has recommended the application of the residual centering method, which implies regressing the higher order term on the raw predictor and including the residuals of this regression as the non-linear term in the final model with the hypothesized outcome. On the basis of the residual centering method, we replicated our analyses and found that the result patterns did not change. However, we continue reporting the results based on Aiken and West's (1991) method, because standardizing predictors before calculating the higher order term is more commonly used in the literature and the residual centering method has been criticized for various statistical limitations (Geldhof, Pornprasertmanit, Schoemann, & Little, 2013).

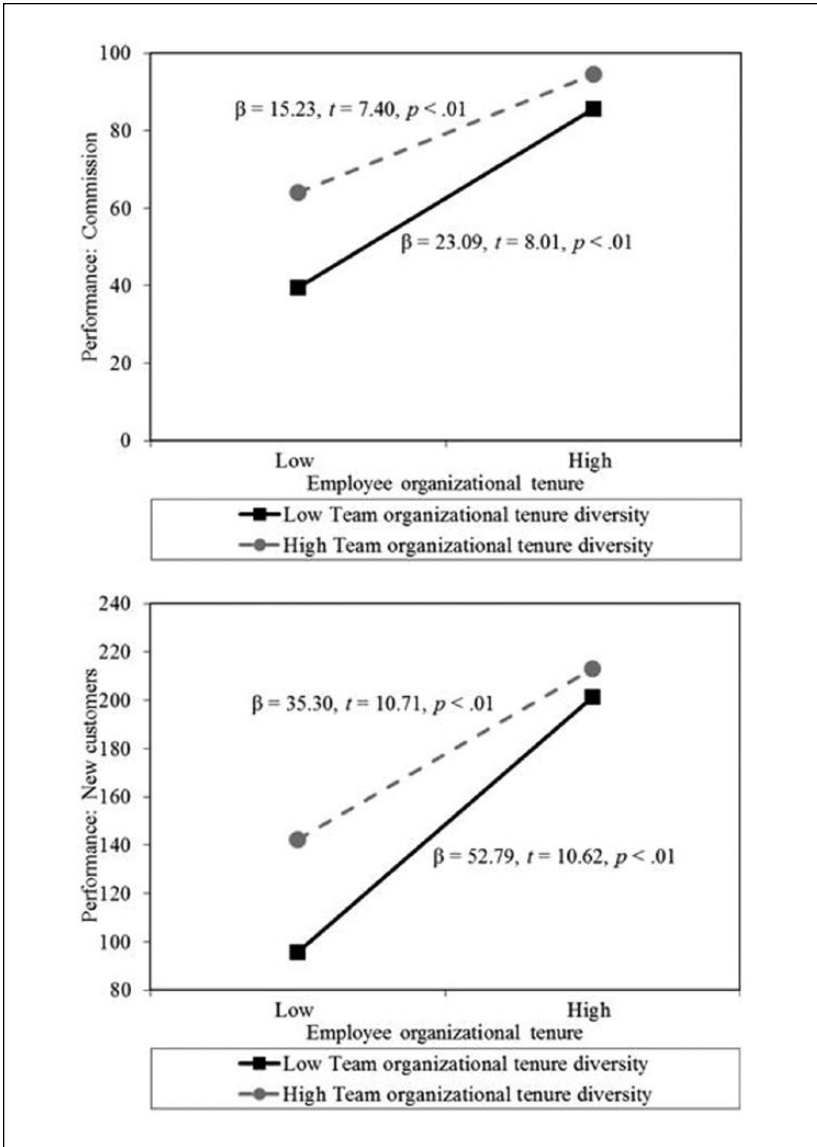


Figure 4. Interaction of employee organizational tenure and team organizational tenure diversity on performance.

Discussion

The present research sought to expand upon previous research by (a) simultaneously examining organizational tenure of *multiple* entities at both the individual (i.e., employee tenure) and the team level (leader organizational tenure and team organizational tenure diversity), and (b) analyzing its combined influence across two objectively measured performance criteria (Rollag, 2004; Tesluk & Jacobs, 1998). Findings indicated that, in addition to being affected by employee organizational tenure (McDaniel et al., 1988; Quiñones et al., 1995), employees' individual accomplishments were strongly affected by organizational tenure variables at the team level. Specifically (a) leader organizational tenure (Goll & Rasheed, 2005; Gupta & Govindarajan, 1984) and (b) team organizational tenure diversity (Chi et al., 2009) had positive effects on employee performance *above and beyond* the benefits associated with employee organizational tenure.

Moreover, our results replicated previous findings by demonstrating that the relationship between employee organizational tenure and employee performance (in terms of both new customers and commission) was curvilinear, such that this positive relationship decreased in strength over time (although for commission, the curvilinear effect was non-significant when controlling for the interaction; Ng & Feldman, 2010; Sturman, 2003). However, it also extended these by revealing that the nature of the relationship between employee performance and the organizational tenure of the leader was curvilinear too (in terms of new customers, but not commission). Analyses also revealed that the positive effects of employee tenure on performance depended upon the organizational tenure diversity of the team. Specifically, there was consistent support across the two different performance indicators for an interaction between employee organizational tenure and team organizational tenure diversity such that the relationship between employee tenure and employee performance (in terms of both performance measures) was weaker when team organizational tenure diversity was high rather than low.

The present research extends prior theory and research by revealing that the impact of organizational tenure on performance can be understood more fully when organizational tenure is considered in relation to various entities within the relevant organizational context (Rollag, 2004; Tesluk & Jacobs, 1998). In particular, findings suggest a comprehensive relationship between organizational tenure and employee performance in which an employee's performance is influenced *directly and additively* by capital associated with organizational tenure at the level of the team (i.e., team leader organizational tenure and team organizational tenure diversity; Chi et al., 2009; Goll & Rasheed, 2005; Gupta & Govindarajan, 1984). In this regard, findings suggest that employees' ability to perform is determined as much as by capital

that relates to themselves as individuals as by capital that relates to the team as a whole. More broadly, the present findings contribute to the team literature by addressing recent calls to examine not only individuals in a vacuum (by exclusively examining characteristics of an individual as an individual) but also individuals as members of their organization as well as the broader characteristics of the team that allow individuals to strive and make use of their potential (Joshi et al., 2011; Mathieu, Tannenbaum, Donsbach, & Alliger, 2014).

An additional implication that can be drawn from the findings is that the *extent* to which employees were able to benefit from their individual organizational tenure was determined by their team's organizational tenure diversity (Chi et al., 2009; Joshi et al., 2011). Specifically, a team with high organizational tenure diversity provides important capital to employees, placing them in a better position to perform. However, an organizational newcomer who has little organization-specific capital benefits to a greater extent from working in a team with elevated organizational tenure diversity than an employee who has been part of an organization for a considerable time. Hence, it appears that team organizational tenure diversity may to some degree *compensate* for an employee's low organizational tenure.

Practical Implications

Practical implications may be drawn with regard to team composition and staffing. In particular, the findings suggest that organizations may benefit from placing employees in teams that are characterized by elevated levels of organizational tenure of the team leader and of team organizational tenure diversity. However, the performance of relatively new organizational members may particularly benefit if they work with team members with both low and high levels of organizational tenure, rather than collaborating with team members who all have similar levels of organizational tenure. Thus, organizational socialization tactics, such as mentoring or career networks (Fang et al., 2011; Hezlett & Gibson, 2007) that recognize the length of organizational membership of team leaders as well as of the team as a whole, may enhance the productivity of organizational members. Thereby, the findings suggest that considering candidates exclusively on the basis of the absolute value of their individual tenure experiences may have limited value, but instead it may be worthwhile considering the team context in which experiences of an individual are likely to be expressed to the fullest.

Furthermore, for individual employees who are new to an organization, it may be particularly valuable to work closely not only with team leaders who have high organizational tenure but also in teams with diverse organizational

tenure. Along these lines, leaders who have spent many years in an organization and teams comprised of low and high tenure may play a role in helping employees who are in early stages of organizational membership to accommodate and accomplish their tasks. At the same time, we recognize that future research needs to examine further the present variables in relation to an organization's broader culture as well as diversity climate that may affect the potential that is associated with organizational tenure diversity (McKay, Avery, & Morris, 2009).

Limitations and Future Research

Organizational tenure is an indicator of human capital that comprises a variety of experiences including familiarity with an organization's history, norms, culture, and goals (Chatman, 1991; Nonaka, 1994; Quiñones et al., 1995; Tesluk & Jacobs, 1998). Therefore, studying underlying processes through which organizational tenure affects performance, such as the acquisition of organization-related capabilities for solving tasks, organizational identification, commitment, role clarity, or social support, would be valuable (Bauer et al., 2007; Tesluk & Jacobs, 1998). For instance, one might expect that social networks will increase more gradually with employee tenure than the knowledge and internalization of the organizational norms and culture. In addition, it might also be worthwhile examining how organizational tenure associated with multiple entities relates to different performance outcomes. For instance, while winning new customers through existing ones may relate in particular to the ability to manage information effectively and to make use of existing networks, achieving a high sales volume may relate in particular to familiarity with organizational products, market regulations, and the customer's specific needs. Moreover, it would also be valuable to measure simultaneously different types of tenure, such as organizational, team, task, or job tenure and to contrast their respective influence on relevant (and potentially different) experiences and employee performance (Tesluk & Jacobs, 1998).

Finally, future research might examine additional variables which may influence the relationship between organizational tenure and performance, such as job complexity and turnover. For instance, employees who perform complex rather than routine tasks may benefit to a greater extent from team organizational tenure diversity (Wegge, Roth, Neubach, Schmidt, & Kanfer, 2008). Along these lines, an opportunity for future research might be to examine the boundary conditions of the present relationships by investigating the extent to which these also hold true in environments comprising less complex jobs than the ones examined in the present research (e.g., in low human capital positions). It is also possible that high performers are faced with more opportunities such that they are more likely to receive offers from other

organizations but also to be promoted and, therefore, to gain organizational tenure in the first place (Schneider, 1987). At the same time, though, employees who display elevated performance might also receive more external job offers and might leave the organization for more attractive opportunities (Salamin & Hom, 2005). Moreover, research on organizational turnover has found evidence for a negative relationship between organizational commitment and turnover as well as between performance and turnover (Park & Shaw, 2013). Nevertheless, the present research cannot rule out the possibility of reversed causality between employee performance and tenure (cf. Sturman & Trevor, 2001; Williams & Livingstone, 1994) and future research could investigate these possibilities by harnessing the value of cross-lagged panel and time-series designs (Sacco & Schmitt, 2005). Finally, there would also be value in exploring whether and how the relationship between organizational tenure and employee performance is affected by other relevant organizational features such as size, organizational strategy, and climate (e.g., organizational appreciation of diversity and innovation; McKay et al., 2009; Somech & Drach-Zahavy, 2013).

Conclusion

In contrast to what researchers have typically taken to be a simple and single-level relationship between organizational tenure and performance, the present research yielded strong and consistent support for complex and multilevel relationships between organizational tenure and employee performance. The current research revealed that *both* employee organizational tenure and team leader organizational tenure have incremental positive influences on employee performance, which furthermore are curvilinear such that their impact decreases in strength as tenure increases. In addition, by demonstrating that team organizational tenure diversity enhanced employee performance directly as well as moderated the impact that employees' organizational tenure had on their performance, findings suggest that individuals' ability to perform is affected by their individual capabilities and experiences as it is by the capabilities and experiences comprised within the team. In sum, the present research suggests that organizations' capacity to promote members' performance is limited if organizations focus on organizational tenure of an individual, while neglecting the ways in which performance is shaped by organizational tenure related to multiple entities within a team.

Authors' Note

For more detailed information concerning the data and statistical analyses, consult Stefan Diestel (email: Stefan.Diestel@ism.de).

Declaration of Conflicting Interests

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Note

1. Additional analyses indicated that there was some evidence that organizational tenure diversity also moderated the curvilinear relationship between employee organizational tenure and new customers (but not commission). This suggested that the curvilinear relationship between employee organizational tenure and new customers was weaker at high team organizational tenure diversity (i.e., in teams with 1 SD above the sample mean).

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